

Foreign Investment and Technology Transfer Act, 2019

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Amending Acts

1. Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080 2080.12.30
2. Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081 2081.03.24
3. Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 2081.12.18

Act Number 34 of the Year 2075

An Act Made to Amend and Consolidate Laws relating to Foreign Investment and Technology Transfer

Preamble: Whereas, it is expedient to amend and consolidate the prevailing Nepal laws relating to foreign investment and technology transfer to achieve sustainable economic growth through industrialization by creating an investment-friendly environment, attracting foreign capital, technology and investment in the sectors of import substitution, export promotion and infrastructure development and production of goods or services, making the national economy competitive, robust and employment-oriented, and enhancing productivity by maximizing the mobilization of available resources for the economic prosperity of the country,

Be it enacted by the Federal Parliament. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Foreign Investment and Technology Transfer Act, 2075".

(2) Sections 10 and 11 of this Act shall come into force from the date notified by the Government of Nepal by a notice published in the Nepal Gazette, and other sections shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Industry" means an industry established pursuant to the prevailing law relating to industrial business. (b) "Single Point Service Center" means a single point service center established pursuant to the prevailing law relating to industrial business. (c) Amended by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081."Non-Resident Nepali" means a person who has obtained a Non-Resident Nepali citizenship or a Non-Resident Nepali identity card pursuant to the prevailing law. (d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. (e) "Board" (Securities Board) means the Nepal Securities Board established pursuant to the prevailing law relating to securities. (f) Amended by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081."Technology Transfer" means the transfer of technology by making an agreement between an industry and a foreign investor or between an industry or company

established and operating in Nepal and an industry, firm or company located abroad, on the following subjects:- (1) Patent, design, trademark, goodwill, technical specifications, franchise, formula, process, (2) User's license or provision of technical know-how (know-how sharing), (3) Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. Management and technical service, information technology, marketing and market research, financial, accounting and auditing, engineering, outsourcing, human resource outsourcing, digital data processing and digital data migration, design service or other technical skills or knowledge, (4) Reverse engineering. (g) "Board" means the Amended by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080. Industrial and Investment Promotion Board pursuant to the prevailing law relating to industrial business. (h) "Ministry" means the Ministry of Industry, Commerce and Supplies of the Government of Nepal. (i) "Investment Board" means the Investment Board pursuant to the prevailing law relating to the Investment Board. (j) "Foreign Investment" means the following investment made by a foreign investor in an industry or company:- (1) Share investment made in foreign currency, (2) Reinvestment of dividend amounts received in foreign currency or from shares in an industry, (2a) Inserted by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080. Share investment made through machinery, tools, equipment, subject to Section 3, (3) Lease investment (lease finance) made pursuant to Section 6, (4) Investment made in a venture capital fund pursuant to Section 9, (5) Investment made in listed securities through the secondary market of securities pursuant to Section 10, (6) Investment made by purchasing shares or assets of a company established in Nepal, (7) Investment received through the banking system by an industry or company established in Nepal issuing securities in a foreign capital market pursuant to Section 11, (8) Investment made through technology transfer, or (9) Investment maintained by establishing and expanding an industry in Nepal. (10) Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. Investment made in units of a specialized investment fund pursuant to Section 9A. (k) "Foreign Investor" means a foreign individual, firm, company, non-resident Nepali or foreign government or international organization or other similar organized institution making a foreign investment, and the term also denotes the ultimate beneficial owner of such institution if the foreign investor is an institutional foreign investor. (l) "Foreign Investment Approving Authority" means the authority pursuant to Section 17. (m) "Department" means the Department of Industry. (n) "Institutional Foreign Investor" means a foreign company, organized institution or international organization making a foreign investment.

Chapter-2

Foreign Investment

3. Persons who may make Foreign Investment: (1) A foreign investor may make foreign investment in any industry, except the industries specified in Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. the Schedule, and may obtain benefits from such investment.

(2) Omitted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. An industry operated with foreign investment in an industry specified in the Schedule shall not make foreign investment from the profit earned or through any other means. Provided that, technology transfer may be made in industries established with Nepali investment specified in the Schedule with the approval of the Department.

(3) Notwithstanding anything contained in Sub-section (1), approval shall not be granted for making foreign

investment of an amount less than that prescribed by the Government of Nepal by a notice published in the Nepal Gazette in any industry, Inserted by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080. and while so prescribing the investment limit, the limit of the amount to be invested by Non-Resident Nepalis and other foreign investors may be prescribed differently. 4. Foreign Investment may be made Solely or Jointly: A foreign investor may make foreign investment by establishing an industry solely, jointly, or jointly with an industry established in Nepal or a Nepali citizen. 5. Foreign Investment may be made by Purchasing Assets or Shares of an Industry: A foreign investor may make foreign investment by purchasing the assets or shares, up to the prescribed percentage, of any industry established in Nepal. 6. Lease Investment may be made: A foreign investor may make lease investment in aircraft, ships, machinery, tools, construction equipment or other similar equipment, subject to the prescribed limit. 7. Foreign Investment may be made by Technology Transfer: (1) A foreign investor may make foreign investment by transferring technology to any industry established in Nepal.

(2) The terms and conditions of technology transfer pursuant to Sub-section (1) shall be as specified in the agreement on technology transfer made between the concerned industry and the foreign investor.

(3) In the agreement pursuant to Sub-section (2), provision shall not be made to repatriate an amount of royalty exceeding the prescribed limit.

(4) The agreement pursuant to Sub-section (2) shall be approved by the foreign investment approving authority.

(5) While granting approval pursuant to Sub-section (4), the foreign investment approving authority may prescribe necessary conditions based on international practices relating to foreign investment, the production capacity and sales capacity of the industry, etc.

Inserted by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081. 7A. Technology Transfer may be made Abroad: (1) Notwithstanding anything contained in the prevailing law, an industry or company established and operating in Nepal may transfer technology to an industry, firm or company located abroad. Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. (2) The foreign currency received in consideration for technology transfer pursuant to Sub-section (1) may, with the permission of Nepal Rastra Bank, be brought into Nepal or invested, subject to the prevailing law relating to regulation of foreign exchange, in a limited liability partnership, firm, investment fund, company or an entity of a similar nature established with limited liability, established or registered abroad.

(3) To make technology transfer pursuant to Sub-section (1), any industry, firm or company may, with the permission of the Department, open its branch office or unit in the concerned country. 8. Foreign Investment may be made by Establishing a Branch: (1) Any industry established abroad may, subject to the prevailing law, make foreign investment by establishing or expanding its branch industry in Nepal.

(2) Other provisions relating to the establishment or expansion of a branch industry pursuant to Sub-section (1) shall be as prescribed. 9. Foreign Investment may be made by Establishing a Venture Capital Fund: (1) An institutional foreign investor may establish a company pursuant to the prevailing law, and with the approval of the Securities Board, establish a fund manager function and a venture capital fund, for the purpose of making equity investment in any industry. Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.

(2) To make investment in an industry from the fund pursuant to Sub-section (1), approval shall be obtained

by completing the procedure pursuant to Section 15.

(3) The company shall provide details of the venture capital fund pursuant to Sub-section (1) to the Department every six months.

(4) Other provisions relating to the fund established pursuant to Sub-section (1) shall be as prescribed. Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.9A.

Foreign Investment may be made by Purchasing Units of a Specialized Investment Fund: (1) A foreign investor may make foreign investment by purchasing units of a venture capital fund pursuant to Section 9 or a specialized investment fund registered with the Nepal Securities Board, with the approval of the Nepal Securities Board, for the purpose of making equity investment in any industry. (2) To make investment in an industry from the fund pursuant to Sub-section (1) whose units have been purchased by a foreign investor, approval shall be obtained by completing the procedure pursuant to Section 15. (3) The concerned fund manager shall provide details of the fund pursuant to Sub-section (1) whose units have been purchased by a foreign investor to the Department. 10. Securities Transactions may be conducted: (1) An institutional foreign investor establishing a venture capital fund pursuant to Section 9 shall register with the Securities Board for securities transactions. (2) A foreign investor registered with the Securities Board pursuant to Sub-section (1) may conduct securities transactions, through the secondary market, in securities of industries in which foreign investment is permissible under this Act. (3) While conducting securities transactions pursuant to Sub-section (2), the minimum number of securities to be purchased, investment limit, minimum period for holding securities after purchase, reserve fund to be maintained in foreign currency for purchasing securities, and other related provisions shall be as prescribed. 11. Borrowing or Obtaining Foreign Currency by Issuing Securities: (1) Any public limited company established in Nepal or an organized institution authorized to issue securities pursuant to the prevailing law may, with the approval of Nepal Rastra Bank and the Securities Board, borrow or obtain foreign currency by issuing debentures, debentures or other securities in the capital market of a foreign country. (2) A company established in Nepal with foreign investment may borrow by issuing securities within Nepal, subject to the prevailing law relating to securities. (3) The loan or foreign currency obtained by issuing securities pursuant to Sub-sections (1) and (2) shall be invested in Nepal. (4) Other provisions relating to issuing securities pursuant to this section shall be as per the prevailing law relating to securities. Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.12.

Borrowing may be made from Foreign Financial Institutions: (1) Any industry may borrow by entering into a project loan or project financing agreement with a foreign financial institution, with the approval of Nepal Rastra Bank pursuant to the prevailing law. (2) The loan taken by an industry pursuant to Sub-section (1) shall also be entitled to exemptions, facilities and concessions under Chapter-5 for foreign investment under this Act. (3) Facility of foreign currency shall be provided to the industry for the payment of principal and interest of the loan pursuant to the procedure determined by Nepal Rastra Bank. (4) Notwithstanding anything contained in the prevailing law, in case a loan is taken from a foreign financial institution with the approval of Nepal Rastra Bank pursuant to Sub-section (1) by entering into a project loan or project financing agreement, the industry taking such loan may mortgage immovable property in the name of the foreign financial institution. (5) An industry specified in the Schedule shall not be allowed to take a loan pursuant to Sub-section (1). 13. Maximum Limit of Foreign Investment not to be Prescribed: (1) The maximum limit of the amount and share of investment to be made by a foreign investor willing to invest in Nepal shall not be prescribed. (2) Notwithstanding anything contained in Sub-section (1), in the case of a service industry, the

maximum limit of equity of foreign investment and the limit of investment to be made in securities pursuant to Section 10 may be prescribed so as not to be less than the commitment made by Nepal in relation to the concerned sector or sub-sector at the time of obtaining membership of the World Trade Organization. 14. Agreement may be made with Commercial Banks: (1) A foreign investor making investment under this Act may, for the work relating to its investment made in Nepal, enter into a tripartite agreement (escrow agreement) with its partner investor or another foreign investor and any commercial bank or infrastructure development bank recognized by Nepal Rastra Bank.

Explanation: For the purpose of this section, "Escrow Agreement" means an agreement entered into by the parties to a contract, in relation to a transaction between them, consenting to deposit any amount, document of evidence or any security with a third party for the security of such transaction, and to make such amount, document of evidence or security available to the concerned party after fulfillment of the contractual obligations by the parties to the contract.

(2) The bank entering into an escrow agreement pursuant to Sub-section (1) shall act as an agent of the parties to the agreement.

(3) Other provisions relating to the escrow agreement made pursuant to Sub-section (1) shall be as prescribed. Chapter-3

Approval and Repatriation of Foreign Investment

15. Application to be Submitted for Approval to Make Foreign Investment: (1) A foreign investor desiring to make foreign investment under this Act shall submit an application to the foreign investment approving authority in the prescribed format, specifying the details including the time schedule for bringing foreign investment into Nepal and the action plan for investment in the industry, and the details as prescribed. Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. Provided that, a non-resident Nepali or a company, firm or investment fund in which more than fifty percent share investment is held by a non-resident Nepali, making investment pursuant to Section 7 or 8 of the Non-Resident Nepali Act, 2064, shall provide information of such investment to the Department. Upon receipt of such information, the Department shall grant approval for the investment.

(2) Upon examining the application received pursuant to Sub-section (1), if the documents as prescribed are found to be complete, the foreign investment approving authority shall grant approval for foreign investment in the prescribed format within seven days from the date of receipt of the application.

(3) An industry that has obtained approval pursuant to Sub-section (2) shall not require further approval for foreign investment if it wishes to invest from the profit earned in the same industry or in any other industry except those specified in the Schedule. Provided that, in respect of matters for which a license or permission is required to be obtained pursuant to the prevailing law for industry or company registration or tax purposes or any other work, the same shall apply.

(4) If any industry is established pursuant to Sub-section (3) or if the ownership structure of any industry changes due to foreign investment, such industry shall give information thereof to the Department and Nepal Rastra Bank.

Upon receipt of such information, the Department shall maintain a record thereof.

(5) If, upon examining the application pursuant to Sub-section (2), it appears that approval cannot be granted,

the foreign investment approving authority shall give written information thereof to the applicant within seven days, stating the grounds and reasons therefor.

(6) If the decision made by the Department pursuant to the information received under Sub-section (5) is not satisfactory, the concerned investor may submit an application to the Ministry for review of such decision.

(7) The Ministry shall, upon necessary inquiry, decide on the application received pursuant to Sub-section (6) within thirty days. 16. Information to be Given to Nepal Rastra Bank: (1) After obtaining approval for foreign investment pursuant to Section 15, the foreign investor shall give written information to Nepal Rastra Bank, including a self-declaration that the amount of such investment is derived from its legitimate source. After giving such information, the foreign investor may bring such investment amount into Nepal.

(2) The amount to be invested by a foreign investor shall be brought in convertible foreign currency through the banking system, completing the procedure determined by Nepal Rastra Bank. Provided that, an Indian investor may also invest such investment amount in Indian currency through the banking system.

(3) Notwithstanding anything contained in Sub-section (3), the lease investment pursuant to Section 6 and the debt investment issued as security pursuant to Section 11 shall be as prescribed. Amended by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081.17. Approval of Foreign Investment: Approval of foreign investment under this Act shall be granted by the Department. 18. Period for Completing Investment: (1) A foreign investor shall complete the investment of the amount approved for making foreign investment pursuant to Sub-section (2) of Section 15 within the prescribed period.

(2) A foreign investor who has already obtained approval for making foreign investment pursuant to the prevailing law at the time of commencement of this Act shall also complete the investment of the prescribed minimum amount within the period prescribed pursuant to Sub-section (1).

(3) If an industry fails to make investment within the period specified in Sub-section (1) or (2) or Section 43 without reasonable cause, the investment approval granted to it shall be cancelled by the authority granting such approval. Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.18A.

Transfer of Property may be made: (1) If a foreign investor wishes to transfer the amount of foreign investment approved pursuant to Section 17, in whole or in part, free of cost to any person or entity, an application shall be submitted to the Department. (2) Upon examining the application received pursuant to Sub-section (1), the Department may, if tax is leviable pursuant to the prevailing law, require the concerned person or entity to pay the tax and grant approval. 19. Information of Sale or Transfer of Shares to be Given: (1) If there is a change in the structure of ownership or beneficial ownership through the sale or transfer of shares or any other type of financial instrument or any other means, of assets, property or shares or any other financial instrument created in Nepal from foreign investment, within or outside Nepal, the concerned company shall, within thirty days of the transaction, give information thereof, along with supporting documents, to the authority permitting such investment and get it recorded as prescribed. (2) If the ownership of an industry with foreign investment in Nepal changes upon the transfer of assets, property or shares or any other financial instrument of a holding company, the obligation to give information pursuant to Sub-section (1) shall be of the concerned branch industry or unit of the industry established in Nepal. (3) If a transaction occurs pursuant to Sub-section (1), the concerned industry shall not be recorded pursuant to Sub-section (1) until the tax is deposited pursuant to the prevailing law, stating the transaction amount. (4) Other provisions relating to share sale and transfer shall be as prescribed. 20.

Right to Repatriate Investment and Earned Amount: (1) A foreign investor may, if it so desires, sell its investment shares or the industry in whole or in part pursuant to the prevailing Nepal law, pay all taxes leviable pursuant to the prevailing Nepal law, and repatriate its investment from Nepal. (2) A foreign investor may, in the same foreign currency in which it made the investment or in other convertible foreign currency with the approval of Nepal Rastra Bank, after fulfilling the tax liability pursuant to the prevailing law, repatriate the following amounts:- (a) Amount received from the sale of shares of foreign investment, (b) Amount equivalent to profit or dividend received from foreign investment, (c) Amount remaining after settling all liabilities following the dissolution or liquidation of the industry or company, (d) Amount received as benefit (royalty) under the technology transfer agreement, Provided that, in the case of royalty or fee for the use of trademark under technology transfer in liquor industries other than distilleries exporting one hundred percent liquor, such benefit amount shall not exceed the prescribed five percent of the total sales price excluding prevailing tax. (e) Lease rent amount under lease investment, (f) Amount received as compensation or damages from the final settlement of any lawsuit, arbitration or other legal process in Nepal. (g) Amount that may be repatriated pursuant to the prevailing law.

Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(h) Amount from the sale of units of a specialized investment fund,

Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(i) Profit received from units of a specialized investment fund.

(3) While repatriating amounts in convertible foreign currency pursuant to Sub-section (1) or (2), it shall be exchanged at the prevailing exchange rate.

(4) Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.If a foreign financial institution pursuant to Section 12 has lent to any industry or company by taking movable or immovable property of Nepal as collateral or mortgage, and if such mortgaged or collateralized movable or immovable property has to be auctioned or foreclosed due to non-payment of principal or interest of such loan, such lending institution may, pursuant to the prevailing law, auction it like a bank or financial institution in Nepal and repatriate the principal and interest of the loan.

(5) If a lease agreement is terminated due to non-payment under the lease agreement or breach of terms thereof, the foreign investor may repatriate its investment and the property invested under the lease.

(6) A foreign investor desiring to repatriate foreign investment or amounts earned therefrom under this section shall submit an application to the foreign investment approving authority in the prescribed format for approval. Provided that, if the Government of Nepal, by a notice published in the Nepal Gazette, confers the authority to grant approval for repatriation of foreign investment or amounts earned therefrom to the Single Point Service Center, such application shall be submitted to the Single Point Service Center.

Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(6A) A foreign investor desiring to repatriate amounts pursuant to clause (h) or (i) of Sub-section (2) shall submit an application to the Nepal Securities Board for approval. (7) Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.Upon examining the application received

pursuant to Sub-section (6) or (6A), if it appears that the foreign investor has fulfilled the terms and conditions and obligations under this Act, the prevailing law and the agreement made regarding foreign investment, the foreign investment approving authority shall grant approval for repatriation of foreign investment or amounts earned therefrom within Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.seven days from the date of receipt of the application. (8) After obtaining approval pursuant to Sub-section (7), the foreign investor may submit an application to Nepal Rastra Bank for foreign exchange facility. (9) Upon receipt of an application pursuant to Sub-section (8), Nepal Rastra Bank shall provide the foreign investor with exchange facility for repatriation of foreign investment. (10) If any industry with foreign investment is sold in whole or in part, or if the registration of the industry or company is cancelled for any reason and the investment amount is to be repatriated, the remaining amount shall be allowed to be repatriated only after all liabilities including tax payable by such industry are paid or settled. (11) Notwithstanding anything contained elsewhere in this section, while repatriating foreign investment made in any industry under this Act or profits earned therefrom, the foreign investor may repatriate such investment or profit only to the extent of the proportion of its share of investment in the concerned company. (12) If any foreign investor is not satisfied with the decision made by the approving authority regarding repatriation of its investment amount, it may submit an application to the Ministry. The Ministry shall decide on such application within Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.fifteen working days. Chapter-4 Promotion, Facilitation and Regulation of Foreign Investment 21.

Functions, Duties and Powers of the Board: In addition to the functions, duties and powers written elsewhere in this Act, other functions, duties and powers of the Board shall be as follows:- (a) To advise the Government of Nepal on policy, institutional and procedural reforms to be adopted to attract foreign investment in industrial and infrastructure development, (b) To formulate necessary strategies and programs to increase the attraction of foreign investment in Nepal and to promote and protect it, (c) To grant approval for the establishment of foreign investment-based industries and infrastructure and to promote foreign investment, (d) To facilitate foreign investment by enhancing, expanding and protecting foreign investment, (e) To maintain coordination at the policy and implementation level of foreign investment, (f) To assist in the implementation of policies and laws relating to foreign investment, (g) To make arrangements for providing services to foreign investors from the Single Point Service Center, (h) To take information on whether the work of approval and service delivery of foreign investment is conducted properly or not and give necessary directions to the concerned authority, (i) In relation to repatriation of foreign investment or earned amounts under Section 20, or if any problem arises in the implementation of this Act or rules made under this Act, to do or cause to be done such other works as prescribed, (j) To do or cause to be done other works as prescribed. 22.

Functions, Duties and Powers of the Department: In addition to the functions, duties and powers written elsewhere in this Act, other functions, duties and powers of the Department shall be as follows:- (a) To create a conducive environment for the establishment and operation of industries to be established with foreign investment, (b) To facilitate foreign investors to obtain any approval or license including initial environmental examination, environmental impact assessment pursuant to the prevailing law, (c) To maintain an updated record, update and periodically publish details of foreign investment and technology transferred to Nepal approved or permitted under this Act or the prevailing law, (d) To grant approval for repatriation of investment and remuneration to foreign experts, technicians or managerial staff working pursuant to Section 27 in the industry of foreign investors and with foreign investment, (e) To formulate and implement Standard Operating Procedures to make foreign investment transparent and procedural simplification, (f) To recommend visa for

foreign investors and their authorized representatives and foreign experts, technicians or managerial staff working pursuant to Section 27 in industries with foreign investment and the family members Omitted by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080. of such persons, and to facilitate the same, (g) To regularly supervise and monitor whether industries with foreign investment have misused the facilities provided under this Act or not, (h) To facilitate the establishment of industries in industrial areas or special economic zones for industries with foreign investment, (i) To do or cause to be done other works as prescribed. 23.

Services to be Provided through Single Point Service Center: (1) The Government of Nepal may make necessary arrangements to provide exemptions, facilities, concessions or services to be provided to foreign investors under this Act and other prevailing laws through the Single Point Service Center. (2) While managing services to be provided through the Single Point Service Center pursuant to Sub-section (1), necessary arrangements shall be made to provide the following services sequentially:- (a) Industry registration and industry administration, (b) Approval of foreign investment and loans, (c) Company registration and company administration, (d) Work permit, (e) Visa facility, (f) Quality measurement and control of goods produced by the industry, (g) Approval of environmental study report, (h) Energy and infrastructure development and necessary coordination and focal point among other agencies, (i) Exemptions and facilities receivable by the industry, (j) Work of providing Permanent Account Number, (k) Foreign exchange approval, (l) Any service related to other work to be done for industries under this Act and the Rules made under this Act. (3) In addition to the service facilities provided under this section, the Single Point Service Center may be prescribed to provide other services under the prevailing law. Chapter-5 Exemptions, Facilities and Concessions to be Provided to Industries with Foreign Investment or Foreign Investors 24.

Facilities to be Received by the Industry: (1) In addition to the exemptions, facilities, concessions or protection under this Act, industries with foreign investment shall also be provided exemptions, facilities or concessions available under the prevailing Industrial Business Act and other prevailing laws. (2) Notwithstanding anything contained in Sub-section (1), industries with foreign investment shall not be entitled to the facilities available to sick industries under the prevailing law. 25. Facility for Foreign Currency Transactions: (1) A foreign investor or an industry with foreign investment may open and transact an account in Nepali currency in any commercial bank or infrastructure development bank or financial institution in Nepal, and in convertible foreign currency in any bank or financial institution licensed to transact convertible foreign currency pursuant to the prevailing law. Provided that, approval of Nepal Rastra Bank shall be obtained to open and transact an account in convertible foreign currency. (2) An industry with foreign investment may use approved derivative instruments through a bank or financial institution to mitigate the risk of fluctuation in the exchange rate of convertible foreign currency. 26.

Foreign Currency Facility: (1) An industry with foreign investment may, on the recommendation of the foreign investment approving authority and with the approval of Nepal Rastra Bank, obtain facility of foreign currency for the amount required for the following purposes:- Inserted by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(1A) Notwithstanding anything contained in Sub-section (1), if the procedure under Section 20 has been completed, the recommendation of the foreign investment approving authority shall not be required for repatriation of foreign investment under clause (g) of Sub-section (2). (a) To pay remuneration payable to foreign experts, technicians or managerial staff employed in the industry pursuant to Section 27, (b) To pay principal or interest of debentures or debentures issued pursuant to Sub-section (1) of Section 11, (c) To repatriate foreign investment or earned amounts pursuant to Section 20. (2) After approval from Nepal Rastra Bank pursuant to Sub-section (1), the industry with foreign investment may pay or use the approved amount

from the foreign currency in its account pursuant to Section 25. (3) A foreign expert, technician or managerial staff employed in the industry pursuant to Section 27 may, after depositing income tax in Nepal pursuant to the prevailing law, carry the savings from the remuneration amount receivable by him/her to his/her country in convertible foreign currency. (4) When exchanging or carrying convertible foreign currency pursuant to Sub-section (2) or (3), it shall be done at the open market exchange rate. 27. Provisions relating to Expert, High Technical and Managerial Employees: (1) While filling positions of experts, high technical, managerial employees or technical employees in the top management of an industry with foreign investment, Nepali citizens shall be employed. (2) Notwithstanding anything contained in Sub-section (1), if it is not possible to fill the positions of experts, high technical, managerial employees or technical employees in the top management of the industry by Nepali citizens, and if technical knowledge or skills need to be transferred through technical experts of other countries in such industry, foreign nationals may be employed pursuant to the prevailing law. (3) The concerned industry shall provide the details of the foreign national employed pursuant to Sub-section (2) to the Department. The Department shall also provide such details to the Ministry of Finance, Ministry of Home Affairs and Ministry of Labour, Employment and Social Security. (4) Employees and workers employed in an industry with foreign investment pursuant to Sub-section (2) shall comply with the conditions under the prevailing Nepal law. 28. Provisions relating to Industrial Security: Industries with foreign investment shall be provided industrial security equivalent to other industries established in Nepal. 29.

Facility of Identity Card: The Department may provide an identity card in the prescribed format to a foreign investor making foreign investment as prescribed. 30. Provisions relating to Visa Facility: (1) A foreign national coming for study, research or survey for foreign investment shall be granted a non-tourist visa for up to six months. (2) A foreign investor or his/her one authorized representative and the family members of such investor or representative shall be granted a business visa to stay in Nepal as long as the foreign investment of an amount equivalent to the prescribed minimum amount is maintained. Explanation: For the purpose of this section, "family member" means the husband or wife, parents and minor children of the foreign investor or his/her authorized representative. (3) Notwithstanding anything contained in Sub-section (2), in the case of an investor making an investment exceeding the prescribed amount, such facility shall be provided to a maximum of two persons and their family members only. (4) A foreign investor making foreign investment of more than one million US dollars or equivalent convertible foreign currency at a time, or his/her authorized representative, and family members of such person shall be granted a residential visa for as long as the foreign investment of an amount equivalent to the prescribed minimum amount is maintained. (5) A foreign expert, technician or managerial employee coming to work in an industry pursuant to Section 27 and his/her family shall be granted a non-tourist visa. (6) The authority issuing work agreement and work permit for non-tourist visa shall complete the necessary procedure and decide on whether to issue the work agreement and work permit or not within fifteen days. (7) Other provisions relating to visa facility shall be as prescribed. 31. Provisions relating to Land: (1) A foreign investor shall arrange land required for the industry by purchasing it himself/herself or by other means pursuant to the prevailing law. (2) Notwithstanding anything contained in Sub-section (1), if a foreign investor is unable to purchase or arrange necessary land himself/herself for operating an industry as prescribed, and requests to purchase or arrange land stating the details thereof, the foreign investment approving authority shall make necessary recommendation, coordination and facilitation for that purpose. (3) If an industry operated or to be operated with foreign investment requires land exceeding the ceiling limit for establishment and operation of the industry, the industry registering authority shall make necessary recommendation, coordination and facilitation subject to the prevailing law.

The land purchased shall be used only for the purpose for which it was purchased.

(4) Other provisions relating to providing land on lease and land ceiling limit for

40. Settlement of Disputes: (1) If any dispute arises between a Nepali investor and a foreign investor in relation to foreign investment, the Department may make necessary facilitation to resolve such dispute through mutual discussion or negotiation between the concerned parties.

(2) If the dispute cannot be resolved through the process pursuant to Sub-section (1) within forty-five days of the arising of the dispute, and if there is a joint investment or dispute resolution agreement between the parties to the dispute for resolving such dispute, the dispute shall be settled in accordance with such agreement.

(3) The parties shall provide information about the settlement of the dispute pursuant to Sub-section (2) to the body approving the foreign investment within fifteen days of such settlement of the dispute. Provided that the parties shall not be compelled to provide information about the terms and conditions on which such agreement was made.

(4) If there is no provision regarding dispute resolution in the agreement made between the parties pursuant to Sub-section (2), such dispute shall be settled by arbitration in accordance with the law relating to arbitration in Nepal.

(5) Unless the parties to the dispute otherwise agree on the settlement of a dispute arising in relation to any foreign investment, the arbitration shall be conducted in accordance with the prevailing rules or procedures of the United Nations Commission on International Trade Law (UNCITRAL).

(6) Arbitration conducted pursuant to this Section shall be held in Nepal and the substantive law of Nepal relating to arbitration shall apply. Provided that in the situation pursuant to Sub-section (2), it shall be in accordance with that same sub-section.

(7) If there is no agreement regarding dispute resolution prior to the dispute between the parties, or if the existing agreement is felt to be insufficient, the concerned parties may make an agreement for the settlement of the dispute even after the dispute has arisen. Information of the agreement made in this manner

shall be provided to the body registering the industry.

(8) Even in the case of an agreement made pursuant to Sub-section (7), the dispute may be settled in accordance with this Section. 41. Use of Electronic Means: The body approving foreign investment may carry out the approval for foreign investment and other related work and proceedings pursuant to this Act through an electronic medium recognized in accordance with the prevailing law on electronic transactions. 42.

Provision regarding Automatic Approval Process: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, provide services such as company registration, industry registration, foreign investment approval, etc., through an automatic route in accordance with this Act and the prevailing law to simplify and facilitate the foreign investment process. (2) The automatic route pursuant to Sub-section (1) and other arrangements related to the electronic system (online system) shall be as prescribed. 43. Validity Period of Foreign Investment Approval: (1) The approval of foreign investment granted by the body approving foreign investment shall remain valid for the period such investment continues to exist in Nepal. (2) Notwithstanding anything contained in Sub-section (1), such approval shall be deemed to have automatically become inactive in the following circumstances: (a) If the investment amount is not commenced to be brought into Nepal within two years from the date of foreign investment approval without any reasonable cause, (b) If, as a result of the sale and distribution of shares of an industry registered with foreign investment approval, one hundred

percent ownership of the industry with such foreign investment is transferred to a Nepali investor, (c) If the registration of the industry with foreign investment approval or the company establishing such industry is cancelled for any reason, (3) Other provisions relating to the validity period of foreign investment approval shall be as prescribed. 44. Conditions to be Fulfilled: In addition to those written in this Act, the foreign investor shall fulfill the conditions as prescribed. 45. Production through Contracting: Amended by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081. (1) An industry with foreign investment may produce or cause to be produced goods or services by entering into a contract or sub-contract with other industries having similar objectives. (2) Other provisions relating to production through contracting shall be as prescribed. 46. Power of Attorney may be Given: (1) A person wishing to make a foreign investment pursuant to this Act may grant a power of attorney to any person to carry out any, some, or all of the work and proceedings required to be done by him/her.

All works and proceedings carried out by the person receiving the power of attorney in accordance with the power of attorney shall be Amended by the Act to Amend Some Acts relating to Money Laundering Prevention and Business Environment Promotion, 2080. deemed to have been done by the person granting the power of attorney. (2) To work in accordance with the power of attorney given pursuant to Sub-section (1), such power of attorney must be notarized and submitted to the body approving foreign investment. The body approving foreign investment may, if deemed necessary, inspect the original of such power of attorney. (3) The person receiving the power of attorney pursuant to Sub-section (1) shall not delegate the authority received by him/her to another person. (4) The person granting the power of attorney may revoke the power of attorney given by him/her at any time. The information of such revocation of the power of attorney shall not be valid from the date it is registered by the person granting the power of attorney with the body approving foreign investment. (5) Other provisions relating to granting a power of attorney shall be as prescribed. 47. Delegation of Powers: The Board or the Department may, as necessary, delegate some of the powers conferred on it pursuant to this Act or the rules made under this Act to any body or officer of the Government of Nepal. 48. Foreign Investment in Industries Registered in Province: (1) If foreign investment or technology transfer needs to be made pursuant to this Act in any industry registered by the Provincial Government under prevailing federal or provincial law, approval from the Department must be obtained pursuant to this Act. (2) While obtaining approval pursuant to Sub-section (1), in addition to other things, a certificate of the industry registration in the Province shall be Omitted by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081. submitted. (3) Other provisions relating to foreign investment in industries registered in Provinces shall be as prescribed. 49. To be in Accordance with Prevailing Law: Matters written in this Act shall be regulated by this Act itself, and other matters shall be regulated by the prevailing Act relating to industrial business and other prevailing laws. 50.

Modification or Addition or Subtraction in Schedule: The Government of Nepal may, by publishing a notice in the Nepal Gazette, make necessary modifications or additions or subtractions in the Schedule. 51. Power to Make Rules: The Government of Nepal may make necessary Rules for the implementation of this Act. 52. Guidelines, Procedures or Standards may be Formulated and Implemented: The Government of Nepal may formulate and implement necessary guidelines, procedures, or standards without adversely affecting the generality of this Act and the regulations made under this Act. 53. Repeal and Saving: (1) The Foreign Investment and Technology Transfer Act, 2049 is hereby repealed. (2) Works and proceedings carried out under the Foreign Investment and Technology Transfer Act, 2049 shall be deemed to have been carried out under this Act. Schedule (Relating to Sub-section (2) of Section 3) Industries or Businesses not Open for Foreign Investment Amended by notice published in the Nepal Gazette dated 2077.09.20.1. Large industries, other than those in the field of animal husbandry, fish farming, beekeeping, fruits, vegetables, oilseeds,

pulses, dairy business, and primary agricultural production, Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081. and excluding agricultural technology and mechanization, relating to livestock, fish farming, beekeeping, fruits, vegetables, oilseeds, pulses, dairy business and primary agricultural production, where at least seventy-five percent of the production is exported, 2. Micro and cottage enterprises, 3. Personal service businesses (such as: hair cutting, tailoring, driving, etc.), 4. Industries producing arms, ammunition, explosives, gunpowder or explosive substances and Nuclear, Biological and Chemical (N.B.C.) weapons, industries producing atomic energy, radioactive materials, 5. Real estate purchase and sale business (excluding construction industry), retail trade, internal courier service, local catering service, money changer, remittance service, 6. Travel agencies involved in tourism, tourist guides, trekking and mountaineering guides, rural tourism including homestays, 7. Businesses of mass communication media (newspapers, radio, television and online news), national language film business, 8. Management, accounting, engineering, legal advisory services and language training, music training, computer training, and 9. Consultancy services with more than fifty-one percent foreign investment. Added by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2081.10. Ride-sharing with more than seventy percent foreign investment. Added by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2081.11.